

BEFORE THE
FEDERAL MARITIME COMMISSION

FMC DOCKET NO. 24-13

ACCESS ONE TRANSPORT, INC.
Complainant,

v.

COSCO SHIPPING LINES CO. LTD.
Respondent.

COMPLAINANT'S OPPOSITION TO RESPONDENT'S MOTION TO STRIKE
OR FOR LEAVE TO FILE A SUR-REPLY

Comes now Access One Transport, Inc. ("Access" or "Complainant") and hereby submits its opposition to COSCO Shipping Lines Co. Ltd.'s ("COSCO" or "Respondent") Motion to Strike or for Leave to File a Sur-reply.

BACKGROUND AND FACTS

The Presiding Officer's Scheduling Order issued July 3, 2024, provided for the following deadlines and requirements:

"December 13, 2024 Complainant's brief, proposed findings of fact, and appendix due.

January 21, 2025 Respondents' opposition brief, responses to proposed findings of fact, proposed findings of fact, and appendix due.

February 4, 2025 Complainant's reply brief and responses to proposed findings of fact due....

1. **[Party's] Brief.** Each party shall file a brief meeting the requirements of Commission Rule 214, 46 C.F.R. § 502.214, with the exception that the proposed findings of fact and responses to the proposed findings of fact shall not count toward the page limit found in Rule 214(e).

2. **[Party's] Proposed Findings of Fact.** This document shall set forth proposed findings of fact in numbered paragraphs. Each paragraph shall be limited, as nearly as practicable, to a single factual proposition. Each factual proposition shall be followed by an exact citation to evidence that the party contends will support the proposed finding of fact; e.g., a page number in the appendix. The party shall provide to each other party and to the Office of Administrative Law Judges an electronic copy of its proposed findings of fact with the hard copy of its proposed findings of fact. The electronic copy shall be in a word-processing format (e.g., Microsoft Word) and provided by email.

3. **[Party's] Responses to [Party's] Proposed Findings of Fact.** This document shall set forth verbatim each proposed finding of fact in another party's proposed findings of fact, then admit or deny the proposed finding. Each proposed finding of fact that an opposing party denies shall be followed by an exact citation to evidence that the opposing party contends will rebut the evidence the proposing party claims supports the proposed finding of fact. The opposing party shall provide to the party and to the Office of Administrative Law Judges an electronic copy of the response to [Party's] proposed findings of fact with the hard copies of the response to [Party's] proposed findings of fact. The electronic copy shall be in a word-processing format (e.g., Microsoft Word) and provided by email.

4. **[Party's] Appendix.** The evidence on which a party's proposed findings of fact or response to another party's proposed findings of fact is based shall be included in an appendix."

Access filed its opening brief (which included its proposed findings of fact) and Appendix on December 12, 2024 and COSCO filed its opposition brief, proposed findings of fact and response to Access' proposed findings of fact (as separate documents) and its reply appendix on January 21, 2025. Access filed its Reply Brief, its Responses to COSCO's Proposed Facts, its Reply to COSCO's Responses to Access' Proposed Finding of Fact (hereinafter "Access Reply to Opposed Facts"), objections to certain COSCO evidence and a Supplemental Rebuttal Appendix on January 31, 2025.

COSCO now seeks to strike Access' Reply to Opposed Facts in toto and Access' Supplemental Rebuttal Appendix. COSCO also seeks in the alternative leave to file a sur-reply if the motion is denied, but did not include any sort of proposed sur-reply. COSCO's motion is nothing more than a thinly veiled attempt to improperly have the "last word" in this briefing process.

Access' Reply to Opposed Facts and Supplemental Rebuttal Appendix were authorized by the scheduling order and 46 C.F.R. §502.202. Access has not "sandbagged" COSCO. Indeed, COSCO does not identify a single new argument or theory of liability allegedly made in Access' replies. Instead, Access provided appropriate reply arguments, objections and rebuttal evidence. COSCO, now faced with the glaring deficiencies in its opposition, attempts to gain permission for an improper sur-reply without showing good cause or extraordinary circumstance. Without any specificity as to the offending parts of the Access' Reply to Opposed Facts and or identification of any "new" argument or theory proposed by Access or submitting a proposed sur-reply, COSCO seeks an unfettered last bite at the apple.

COSCO's motion is also procedurally defective in that counsel did not engage in any meaningful meet and confer prior to filing the motion or providing a proposed sur-reply.

ARGUMENT

I. ACCESS HAS COMPLIED WITH THE PRESIDING OFFICER'S SCHEDULING ORDER.

The scheduling order herein required Access and COSCO to prepare and file their respective briefs in accordance with the scheduling order and 46 C.F.R. §502.214. COSCO's opposition brief incorporated by reference COSCO's responses to Access' proposed findings of fact (see COSCO's Opposition Brief at pg. 5). As applicable to the motion, COSCO now seeks to strike Access' Reply to Opposed Facts which directly replied to that portion of COSCO's opposition brief that incorporated by reference COSCO's opposition to Access' proposed facts. Nowhere in the scheduling order or in the Commission's rules, is Access required to only reply to some parts of COSCO's opposition brief and refrain from replying to other parts. Access' Reply to Opposed Facts was a detailed reply to COSCO's opposition on a fact by fact basis. Thus, as a threshold matter, Access has filed the Access' Reply to Opposed Facts in full compliance with the scheduling order.

COSCO fails to identify any specific reply from Access which it finds offensive. Access submits, its reply was proper in that Access' Reply to Opposed Facts provides, *inter alia*; 1) replies to COSCO's objections to Access' facts or supporting evidence (see Access' Reply to Opposed Facts, replies to CF 6, 7, 10, 23, 52, 65, 75, 77); 2) noting that COSCO failed comply with the scheduling order when it did not provide citations to evidence that the opposing party contends will rebut the evidence the proposing party claims supports the proposed finding of fact (see Access' Reply to Opposed Facts, replies to CFs *passim*; 3) replies to COSCO's allegations without evidence that Access failed to return containers on weekends or should have otherwise modified

its operations (see Access' Reply to Opposed Facts, replies to CF 5, 9, 23, 25, 45, 83, 90) and 4) COSCO's speculation, without evidence, as to the insufficiency of evidence provided by Access which supported the cancellation the vast majority of the invoices which are the subject of this action (see Access' Reply to Opposed Facts, replies to CF 29 and 41),

Access' Supplemental Rebuttal Appendix is not prohibited by the scheduling order either. Nowhere in the scheduling order is there any prohibition denying Access' ability to proffer rebuttal evidence per 46 C.F.R. §§502.202 and 502.204. Access' Reply to Opposed Facts and Supplemental Rebuttal Appendix is in compliance with the scheduling order.

II. ACCESS WAS ENTITLED TO OFFER ITS REBUTTAL APPENDIX AND ACCESS' REPLY TO OPPOSED FACTS.

Access did not sandbag anyone. Access' reply included appropriate rebuttal argument and evidence per 46 C.F.R. §§502.202 and 502.204. With the exception of the attempt to exclude Access' Supplemental Rebuttal Appendix in its entirety, Access and the Presiding Officer are left to guess which parts of Access' Reply to Opposed Facts are offensive or to determine which arguments COSCO claims Access made in the first instance in its reply. Access has already demonstrated that Access' Reply to Opposed Facts, is in and of itself, not in violation of the scheduling order. Without specific reference to the offending parts of the reply, Access can only state that in general its replies to the denied facts were just that, reply and rebuttal to denials made by COSCO. Apart from pointing out that COSCO failed to provide *evidence* in support of its denials, Access used its existing appendix and existing arguments in support of its replies. On a few occasions, Access used the documents in its Supplemental Rebuttal Appendix to further rebut COSCO's denials or objections. Each document offered in Access' Supplemental Rebuttal

Appendix, i.e. Access' Initial Disclosures, COSCO's Confidential Internal Emails and the Supplemental Declaration of Thompson¹ was appropriately proffered as rebuttal evidence.

A. 46 C.F.R. §§502.202 and 502.204 Permit Access to Submit Rebuttal Evidence.

46 C.F.R. §502.202 provides: “*Every party has the right to present its case or defense by oral or documentary evidence, to submit rebuttal evidence, and to conduct such cross-examination as may be required for a full and true disclosure of the facts. The presiding officer, however, has the right and duty to limit the introduction of evidence and the examination and cross-examination of witnesses when, in his or her judgment, such evidence or examination is irrelevant, immaterial, or unduly repetitious.*” (emphasis added). Access contends the Access' Reply to Opposed Facts and Supplemental Rebuttal Appendix are direct replies to COSCO's arguments (as is authorized by the scheduling order) and rebuttal argument and evidence. COSCO has not argued and cannot claim that the evidence and arguments proffered were irrelevant, immaterial or unduly repetitious. Thus, the evidence should be allowed.

Additionally, 46 C.F.R. §502.204(a) provides: “*In any proceeding under the rules in this part and in accordance with the Administrative Procedure Act, all evidence which is relevant, material, reliable and probative, and not unduly repetitious or cumulative, will be admissible. All other evidence will be excluded. The presiding officer may consider the Federal Rules of Evidence for guidance.*” Access Supplemental Rebuttal Appendix and any evidence cited in the Access' Reply to Opposed Facts, are relevant , material, reliable and probative. Thus, they should be allowed into evidence. The documents and information therein were submitted as proper rebuttal

¹ Access also submitted the supplemental declaration of Stephen Uthoff CX01481-CX01483. However, the Uthoff declaration contains no new information or argument but was only submitted to authenticate the remaining supplemental exhibits.

evidence, (or in the case of the reply also referred to other evidence already in the record) not as an effort to include new or different evidence or arguments in support of Access' case.

To paraphrase COSCO, ordinarily a court should not consider *new* evidence presented in a reply without giving the non-movant an opportunity to respond, *Provenz v. Miller*, 102 F.3d 1478, 1483 (9th Cir. 1996). But, “[e]vidence is not 'new,' however, if it is submitted in direct response to proof adduced in opposition to a motion, *In re ConAgra Foods, Inc.*, 302 FRD 537, 559, fn. 87 (CACD 2014) (citations omitted). Access has and will show is Supplemental Rebuttal Appendix and related arguments are in direct response to COSCO's arguments and evidence in its opposition thus it is not “new” material subject to exclusion or worthy of a sur-reply.

B. Access' Initial Disclosures CX01460-CX01466 Were Submitted in Direct Response to COSCO's Objections to the Declarations Provided by Access in its Opening Brief Appendix.

As part of its Appendix in support of its opening brief, Access submitted the declarations of Nobu Suzuki, William Thompson and Kahana Ogawa CX01440-CX01456. COSCO objected to the introduction of these declarations claiming that the declarations should not be admitted into evidence since they were not produced during discovery CF 6, 7, 23, 52, 65. In direct response to COSCO's objections, Access' initial disclosures were submitted to show those witnesses were identified during discovery, see CX01460-CX01466. Clearly, the initial disclosures were in direct response and rebuttal to COSCO's objection and not “new” matter.

C. The Supplemental Declaration of William Thompson CX01477-CX01480 Was Responsive To COSCO's New Arguments Regarding Access' Operations and Efforts to Return Containers During Weekends.

As part COSCO's proposed facts, without evidentiary support, COSCO contended that Access could have avoided detention had it returned empty containers during weekends or otherwise modified its operations, see COSCO RPFF 42, 47, 62. COSCO also incorporates those arguments in its response to Access' proposed facts, see COSCO's response to CF 5, 9, 23, 25, 45, 83, 90. In doing so, COSCO disregarded the original declaration of William Thompson, portions of the declaration of Nobu Suzuki and documentary evidence such as the Access Claim Summary CX01430-CX01435 showing empty container returns during weekends. To counter any misreading or misrepresentation of the Thompson declaration testimony the supplemental declaration of Thompson confirms that when he previously testified that that Access had checked for appointments and attempted to return containers on a *daily basis*, "*daily basis*" included weekends. The supplemental Thompson declaration provides no new testimony but simply clarifies his prior testimony for the avoidance of doubt in direct response to COSCO's misleading speculation as to the operations of Access. This is appropriate rebuttal evidence.

Further it must be noted that the declaration of Thompson was not offered only in support of Access' Reply to Opposed Facts, but also in direct response to COSCO's proposed findings of fact (see response to RPFF 42, 47, 62).

If any sandbagging occurred, it was on behalf of COSCO. COSCO had the opportunity during discovery to explain its reasons for initially refusing cancellation of the improper invoices and how Access may have caused its own damages. It chose to provide no explanation except to point to its general tariff provisions and nowhere did it claim that Access should have used better

efforts to return empty containers during weekends or otherwise change its operations, See COSCO's discovery response to Interrogatories 7, 10, 23² and 24. CX0099-CX00105. This argument was raised by COSCO for the first time in its opposition, and Access is entitled to respond in kind, *In re ConAgra Foods, Inc.*, Id.

D. COSCO's Confidential Emails, CX01467-CX01476, Were in Direct Response to COSCO's Contradictory Statements Regarding the Reasons COSCO Cancelled Detention Invoices.

COSCO, prior to and during the pendency of this action, cancelled 319 of the disputed 379 detention invoices, CF 39 and COSCO's response thereto. COSCO admitted that cancellation of the invoices was after Access demonstrated container return appointment unavailability, see COSCO Response to CF 68. Thus, COSCO cancelled the invoices knowing they were for charges assessed when there was no terminal availability or appointments for the return of empty containers (CF 29 & 41). See also COSCO's Opposition Brief at page 3 where COSCO confirms: "at the same time, the FMC also identified that, in some cases, *detention charges could not perform that function, specifically where the "terminal refuses to accept the container" and in those cases the charges should be canceled or waived (as COSCO did with respect to the vast majority of charges to AOT)*" emphasis added.

In contradiction to this admission, COSCO, once again for the first time, attempts to qualify its reasons for cancelling 319 invoices. In response to CF 29 COSCO denies that Access submitted sufficient documentation to cancelling the invoices and in response to CF 41, COSCO denied that

² Access' interrogatory 23 requested COSCO to "state all facts on which you base your ninth affirmative defense". COSCO's ninth affirmative defense was "Any harm experienced by Complainant was a result of its own failures or inaction." See COSCO Answer, CX00019. COSCO did not substantively respond to this interrogatory, see COSCO discovery responses, CX00104.

it had information regarding terminal availability or appointments when it cancelled the invoices. COSCO's Confidential Emails, CX01467-CX01476 were submitted in direct rebuttal of these contradictory denials. The content of the submitted emails make it self-evident why the information was in direct rebuttal without having to repeat the language here on a confidential basis.

III. COSCO HAS NOT DEMONSTRATED ANY BASIS TO SUPPORT A FILING OF A SUR-REPLY.

COSCO, without submitting a proposed sur-reply, seeks sweeping authority to file a sur-reply to the introduction of Access' Supplemental Rebuttal Appendix and Access' Reply to Opposed Facts. COSCO's request is tantamount to requesting a reply to a reply, which is not authorized by the scheduling order and is generally prohibited under Commission Rules (in analogous context) except for a showing of extraordinary circumstances, 46 C.F.R. §502.70(d). As the Commission explained when denying a motion to file a reply to a reply, "simply disagree[ing] with [the opposing party's] arguments on the merits and seek[ing] to have the last word" do not "constitute extraordinary circumstances that warrant a reply brief." See, e.g., *Crocus Investments, LLC & Crocus, FZE v. Marine Transport Logistics*, Dkt. 15-04, Memorandum Opinion and Order, pp. 2 & 7 (FMC Mar. 6, 2017),

In determining if a sur-reply should be allowed, a court should consider (A) whether the reply actually raises arguments or issues for the first time, (B) whether the proposed sur-reply would aid resolution, and (C) whether prejudice would result from leave being granted. *Seafair USA LLC v. Sterling Container Line Ltd.*, Docket No. 22-34, 2023 WL 6811143, at *1 (FMC Oct. 10, 2023) (citing *Glass v. Lahood*, 786 F. Supp. 2d 189, 230-31 (D.D.C. 2011) "surreplies are generally disfavored"). And, a sur-reply should not be used as a means of getting the last word or

endlessly prolonging briefing - where the arguments raised in a reply fall within the scope of the matters raised in the opposition, and even where the reply mischaracterizes factual and legal arguments in the opposition, a sur-reply is not normally appropriate because the court is capable of ascertaining the merits of the parties' positions on its own. See also *Crummey v. Soc. Sec. Admin.*, 794 F. Supp. 2d 46, 63 (D.D.C. 2011). COSCO, the proponent of this motion has not met this standard. Additionally, Access has affirmatively shown, 1) Access' Reply to Opposed Facts and content of the Supplemental Rebuttal Appendix were not new arguments or facts; 2) since no proposed sur-reply was proffered, the Presiding Officer would have to speculate as to its efficacy; and 3) Access will be prejudiced in that COSCO is seeking what amounts to an unlimited sur-reply in an attempt to address the short comings in its opposition and supporting documents, not to provide direct response to any argument or fact offered by Access.

COSCO has not supplied any factual or legal support for its request to file a sur-reply and thus must be denied permission to do so. If the Presiding Officer is inclined to grant COSCO's request, Access should be allowed a limited opportunity to respond to the sur-reply.

IV. COSCO'S MOTION WAS PROCEDURALLY DEFECTIVE.

Prior to filing any non-dispositive motion, the parties are obligated to meet and confer with regard to the scope of the motion, any opposition and to determine if the parties can narrow the areas of disagreement. See 46 C.F.R. §502.71. Access submits COSCO made no attempt at a good faith meet and confer.

The attempt at a meet and confer consisted of three emails on February 3, 2025. The communications started with an email from COSCO's counsel at 8:33 a.m. PST which stated in total “ *COSCO will be moving to strike AOT's Supplemental Appendix and Responses to COSCO's Responses to AOT's Proposed Findings of Fact. Please indicate whether you would like to discuss*

further, as I am broadly available this afternoon; otherwise, please let us know by COB whether you consent or oppose this motion.” To which the undersigned responded fifteen minutes later *“I am available as well to discuss if you like, but will be opposing the motion.”* Counsel for COSCO responded at 9:48 a.m. PST, *“Thank you for your prompt response. We will note your position.”* What is clear from this email exchange, is that COSCO had no intention of meeting and conferring in good faith and instead would have required full capitulation by Access. Without further communication, COSCO filed its motion late in the evening on February 3rd. Like the motion itself, COSCO, in its emails, did not identify with any specificity any offending material in Access’ Reply to Opposed Facts, provided no authority for its position or an explanation of the scope of its proposed sur-reply (which it does not mention at all). How than can Access attempt to narrow any issues or come to a compromise, especially when COSCO did not supply to Access or the Presiding Office its proposed sur-reply? COSCO’s motion should be denied for this procedural defect. Also, COSCO’s failure to provide a proposed sur-reply should be grounds for denial of the motion.

V. ACCESS WAS NOT REQUIRED TO FILE A MOTION FOR LEAVE TO REPLY TO COSCO’S OPPOSITION OR LEAVE TO FILE ITS SUPPLEMENTAL REBUTTAL APPENDIX.

Without any authority, COSCO is “shocked” that Access did not file a motion for leave to file Access’ Reply to Opposed Facts and Supplemental Rebuttal Appendix, see COSCO Motion Page 4 fn. 2. . Access has demonstrated its compliance with the scheduling order and otherwise filed appropriate rebuttal material.

Access’ reply brief and supporting documents were due on the date of the filing of this opposition to COSCO’s motion to strike, February 4, 2025. If necessary (which Access denies)

Access so moves the Presiding Officer to allow the filing of Access' Reply to Opposed Facts and Supplemental Rebuttal Appendix for the reasons cited above including 46 C.F.R. §§502.202 and 502.204.

CONCLUSION

COSCO, in its procedurally defective motion, fails to establish that Access has “sandbagged” anyone. Access' Reply to Opposed Facts and Supplemental Rebuttal Appendix were authorized by the scheduling order herein and 46 C.F.R. §502.202 and did not constitute “new” material that should be excluded. In addition, COSCO has not provided any argument or evidence which would support filing a sur-reply. COSCO's bald attempt to file an irregular reply to a reply should be denied as an improper attempt to generally have the “last word”. If the Presiding Officer is inclined to grant COSCO's motion for a sur-reply Access should have a corresponding opportunity to respond thereto.

Date: February 4, 2025

Respectfully submitted,



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CERTIFICATE OF SERVICE

I hereby certify that on February 4, 2025, the foregoing COMPLAINANT'S OPPOSITION TO RESPONDENT'S MOTION TO STRIKE OR FOR LEAVE TO FILE A SUR-REPLY has been served upon all interested persons and parties by electronic means pursuant to the below list.

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